

Cost-Structure Lens

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Gross margin reality of AI products

PROFESSIONAL DEFINITION

The Cost-Structure Lens examines the gross-margin reality of an AI product, recognising that inference, data and human-in-the-loop costs can erode the high margins assumed for software.

WHO DEVELOPED IT

A construct from SaaS and AI-economics analysis, prominent in the debate over generative-AI unit economics.

WHY IT WAS DEVELOPED

It was developed because AI products often carry variable costs (compute, review) that classic software margins ignore.

FIGURE 1 · COST-STRUCTURE LENS



Figure 1. A schematic of the Cost-Structure Lens as applied in BARBM312 (illustrative).

HOW IT IS USED

The full cost of serving each unit is analysed; pricing and strategy adjust to the true, often lower, gross margin.

WHEN IT IS USED

When assessing the economics and scalability of AI products.

BY WHOM IT IS USED

Founders, finance leaders and investors.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It punctures the assumption of software-like margins for AI, exposing the inference and labour costs beneath them.

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SOURCES (HARVARD REFERENCING STYLE)

a16z (2023) 'Navigating the high cost of AI compute'.

Bessemer Venture Partners (2023) 'State of the cloud'.